



Outsourcing concept

more attention to quantity than it does to detail?

Giving an example of European companies looking for design and manufacturing partners based in India, Balamurugan explains that Europeans prefer Indian manufacturing partners over Chinese when it comes to small quantities. But when it comes to larger quantities the same Europeans head to China or some other place.

“It is important both for the company outsourcing and the company accepting the outsourcing requirements to understand scale and requirements. Missing on this can prove to be a disaster for both,” according to Balamurugan.

He adds, “While there is big money in big orders, there also is big money in small orders. Our policies also need to be tuned to both big and small requirements. The combination of customers and design can do wonders if they are on the same page when it comes to matching the scale of requirements and the ability to get the work done.”

Saving time of a customer, whether Indian or foreign, is of paramount importance for a good design and manufacturing company. Uday Kumar, director, Radiant Design, believes a good partner, for getting repeat orders, makes sure that the product meets expectations, standards, and tech specs mentioned in the requirements.

The same happens when your manufacturing partner knows where to source components in bulk from. Whether it is a definite grade of plastic, a definite chip, or a definite type of screw that will be required to get the job done, your manufacturing partner should have a strong hold in the supply chain and know exactly from where and how he is going to source these elements.

“Electronics design is comparatively easier than designing a good-quality enclosure, and a good design company knows all about the best design parameters. It knows from where to source nuts, bolts and, if required, membranes and everything else. These things help save time and money for both the parties,” explains Uday.

How important is IPR?

Intellectual property rights (IPR) in the field of outsourcing electronics and design services are one of the most sensitive topics. A lot of companies interested in outsourcing design generally begin with the question that involves the process that the outsourcing partner follows for the IPR and what actually happens with the IPR of the product in question.

“IPR is the trust building part of the EMS business. Unlike China, where there is usually nothing called IPR, Indians are trusted much more than anybody else as far as IPR is concerned,” notes Sanket.

Ashita Gupta, COO, Smile Electronics, adds about the importance of IPR, “Indian MSMEs have done a good job handling IPs. China has been infamous for these issues. If IP issues are handled well, then working between the manufacturing companies and the rest of the ecosystem becomes easy.”

The design houses and companies outsourcing the needs could work on different models around IPR. One